Unlike in the case of black money and corruption where demonetization is an ineffective policy measure, in principle, demonetization can help tackle counterfeit currency, if it is planned well, and implemented efficiently.

As described in an earlier chapter, an example of a successful demonetization to tackle counterfeit notes was the one carried out by Australia, which converted its entire currency from paper to polymer between 1992 and 1996. After a trial issue of a polymer commemorative note to celebrate Australia's Bicentenary in January 1988, the Reserve Bank of Australia issued a complete series of polymer banknotes from 1992 onwards.

The new Australian currency notes were the world's first 'durable' banknotes and conferred the twin advantages of lower on-going printing costs as well as rendering the Australian dollar more counterfeit-resistant, due to the polymer base on which they were printed. This was a well-planned exercise carried out over a lengthy period of time, and achieved its objectives with no negative consequences on the economy.

Given that the Indian Government underwrote the huge cost of printing new notes as they remonetized the economy, it is puzzling why they did not consider moving to polymer-based notes or notes with significantly enhanced security features which would have been more difficult to counterfeit.

The one objective that could easily have been achieved through demonetization remained unfulfilled. Instead, the printing mistakes and running colour of the new ₹500 and ₹2,000 notes that were hurriedly introduced lent credence to the view that, even in tackling the problem of counterfeiting, India's 2016 demonetization was a badly-planned exercise in futility.

But what about the claim that demonetization had severely curtailed terrorism and Naxalite activities? Once again, data does not seem to support this claim. The number of fatalities as a result of